what your investors want, you are in trouble. I've talked to a lot of managers who made that mistake.

After rereading the chapter, I felt that a key question had still not been satisfactorily answered. I called Benedict again in October 2011 with some follow-up questions.

One key question I still have is: What changed when you went from being a losing trader to a consistently winning one? Where was your edge coming from?

I learned to pay attention to how markets moved relative to each other. I became a correlation trader—the same thing I still do today.

Can you provide some examples to illustrate how you trade markets against each other?

My problem is that I could never teach my kids or friends what I do because it is so innate. I am constantly trading. It's not like there is one type of trade or even a few specific trades. I trade off of correlations, but I don't constantly trade the same way. I am sensitive to when the correlations are working and when they are not working. So a trade might work in one time frame, but not in another, and I am constantly adapting.

As soon as I put on a position, I immediately start looking for a trade that would be the best offsetting hedge. Say I go long the S&P, I would be looking at my 10 screens for the best hedge. It might be selling another index, or selling a deep-in-the-money call, or selling an out-of-the-money call, or buying bonds (when it is inversely correlated), or taking an inversely correlated position in the euro. And sometimes, I will not put on any offsetting trade, but just use a stop on the position.

But how do you decide which is the best hedge?

By watching the market movements. For example, right now the S&P is trading at 1227, and the bonds are coming off a bit, which tells me that the S&P should probably hold here and start to rally. If I buy it, and it doesn't rally, I would look to buy bonds against it.

Why would that be better than just getting out of the S&P?

This is where the correlation comes into play. The last time the S&P was trading at 1,227, the bonds were 25 bid, and now they are 20 bid.